Satisfied with the experiment, the Government in a related move ***partially nationalised*** eight more private banks (with good regional presence) via *SBI (Associates) Act, 1959* and named them as the Associates of the SBI—the RBI had acquired 92 per cent stake in them as well. After merging the State Bank of Bikaner and the State Bank of Jaipur as well, the RBI came up with the State Bank of Bikaner and Jaipur. Now the SBI Group has a total number of Six banks—SBI being one and Five of its Associates.

2. Emergence of Nationalised Banks

After successful experimentation in the partial nationalisations the Government decided to go for complete nationalisation. With the help of the *Banking Nationalisation Act, 1969*, the Government nationalised a total number of 20 private banks:

(i) 14 banks with deposits more than ` 50 crore nationalised in July 1969, and

(ii) 6 banks with deposits more than ` 200 crore nationalised in April 1980.

After the merger of the loss-making New Bank of India with the Punjab National Bank (PNB) in September 1993, the total number of the nationalised banks came down to 19. Today, there are 27 public sector banks in India out of which 19 are nationalised (though none of the so-called nationalised banks have 100 per cent ownership of the Government of India).

After the nationalisation of banks the Government *stopped* opening of banks in the private sector though some foreign private banks were allowed to operate in the country to provide the external currency loans. After India ushered in the era of the economic reforms, the Government started a comprehensive banking system reform in the fiscal 1992–93. Three related developments allowed the further expansion of banking industry in the country:

(i) In 1993 the SBI was allowed access to the capital market with permission given to sell its share to the tune of 33 per cent through *SBI (Amendment) Act, 1993*.